

ASSEMBLY MANUFACTURING OUTSOURCING AGREEMENT

between

Vertex Manufacturing Outsource Partners Ltd (“Provider”)

and

Solent Audio Equipment Ltd (“Client”)

This Assembly Manufacturing Outsourcing Agreement (this “Agreement”) is entered into and effective as of January 10, 2026 (the “Effective Date”) by and between Vertex Manufacturing Outsource Partners Ltd, a company registered in England and Wales with its registered office at 12 Dockside Way, Southampton, SO14 3XB, United Kingdom, operating an assembly facility in Haiphong, Vietnam (“Provider”), and Solent Audio Equipment Ltd, a company registered in England and Wales with its registered office at 5 Harbourside Road, Southampton, SO15 2AA, United Kingdom (“Client”), each a “Party” and together the “Parties.”

RECITALS. Provider operates contract assembly manufacturing facilities, and Client wishes to outsource the assembly of its audio equipment products to Provider on the terms below.

1. TERM AND RENEWAL

1.1 Initial Term. This Agreement commences on the Effective Date and continues for an initial term of four (4) years, expiring on January 9, 2030 (the “Initial Term”), unless terminated earlier under Section 9.

1.2 Automatic Renewal. Upon expiry of the Initial Term, this Agreement automatically renews for successive two (2)-year periods, unless either Party gives the other written notice of non-renewal at least sixty (60) days before the end of the then-current term.

2. SERVICES; MINIMUM COMMITMENT

2.1 Provider shall assemble Client's audio equipment products in accordance with the specifications in Schedule A.

2.2 Minimum Commitment. Client commits to a minimum annual order volume of one hundred thousand (100,000) assembled units for each year of the Term.

3. FEES AND PAYMENT

3.1 Fees. Based on the Minimum Commitment, the aggregate value of this Agreement over the four (4)-year Initial Term is estimated at eight million pounds sterling (£8,000,000).

3.2 Payment Terms. Client shall pay each undisputed invoice within forty-five (45) days of the invoice date.

3.3 Pricing Model. Units are assembled at fixed per-unit fees set out in Schedule A.

3.4 Price Escalation. Provider may increase per-unit fees once per calendar year by the lesser of (i) five percent (5%), or (ii) the percentage increase in a named raw-materials index specified in Schedule A.

4. QUALITY AND DELIVERY PERFORMANCE

4.1 Provider shall use commercially reasonable efforts to achieve an on-time shipment rate of at least ninety-six percent (96%) and a defect rate below zero point five percent (0.5%), each measured quarterly.

4.2 If Provider's on-time shipment rate falls below the target in a given quarter, Client shall be entitled to a service credit against the affected shipment's value, up to a maximum of ten percent (10%) of that shipment's value.

5. LIMITATION OF LIABILITY

5.1 Except for liabilities arising from a Party's breach of confidentiality, IP infringement, or indemnification obligations, each Party's total aggregate liability arising out of this Agreement shall not exceed three million pounds sterling (£3,000,000).

6. INDEMNIFICATION

6.1 Provider shall defend, indemnify, and hold harmless Client from third-party claims arising out of (a) defective assembled products, or (b) infringement of a third party's intellectual property rights arising from Provider's assembly processes.

7. INSURANCE

7.1 Throughout the Term, Provider shall maintain Product Liability insurance of not less than £5,000,000 per occurrence and Commercial General Liability insurance of not less than £2,000,000 per occurrence.

8. TERMINATION

8.1 Termination for Cause. Either Party may terminate this Agreement immediately upon written notice if the other Party commits a material breach and fails to cure it within thirty (30) days of notice.

8.2 Termination for Convenience. Either Party may terminate this Agreement for convenience by giving the other Party not less than one hundred eighty (180) days' prior written notice.

9. CHANGE OF CONTROL; ASSIGNMENT

9.1 Neither Party may assign this Agreement without the other Party's prior written consent, except in connection with a merger, acquisition, or sale of substantially all of its assets.

9.2 If Provider undergoes a Change of Control involving a direct competitor of Client, Client may terminate this Agreement on thirty (30) days' written notice given within ninety (90) days of becoming aware of the Change of Control.

10. GOVERNING LAW

10.1 This Agreement is governed by, and shall be construed in accordance with, the laws of England and Wales. The courts of England and Wales shall have exclusive jurisdiction over any dispute arising out of this Agreement.

11. GENERAL PROVISIONS

11.1 Entire Agreement. This Agreement, together with its Schedules, constitutes the entire agreement between the Parties with respect to its subject matter.

IN WITNESS WHEREOF, the Parties have executed this Agreement as of the Effective Date.

For and on behalf of
**VERTEX MANUFACTURING OUTSOURCE
PARTNERS LTD**

Signature: _____

Name: Minh Tran

Title: Chief Operating Officer

Date: January 10, 2026

For and on behalf of
SOLENT AUDIO EQUIPMENT LTD

Signature: _____

Name: Rosalind Hale

Title: Head of Operations

Date: January 10, 2026